

Marvell Technology, Inc.

MRVL NASDAQ

Hold	\$216.62 ▼ 10.28%	12M Price Target \$240.00	52-Week Range \$61.44 – \$329.88	Market Cap \$194.68B
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MRVL: Guidance Miss Overshadows Record Quarter, AI Story Intact

WHAT HAPPENED

- MRVL just posted RECORD earnings but the stock cratered 10% because forward guidance for fiscal 2028 came in softer than Wall Street wanted — this is a classic "great quarter, but what have you done for me tomorrow" reaction. The kicker: their custom Google chip deal (Axion) has timing that's pushed further out than investors expected, and when a stock is priced this richly, any delay gets punished brutally.
- Options flow is flashing bearish — the put/call ratio is 0.62 (meaning traders are aggressively buying downside protection) and there's unusual activity in \$215-225 puts expiring soon, so smart money is betting on more downside or hedging existing positions.

WHY IT MATTERS

Here's what today really means: the AI trade is entering a phase where "beating estimates" isn't enough anymore — you have to beat AND raise guidance meaningfully, or you get taken to the woodshed. MRVL's Google Axion timing slip suggests that hyperscaler custom-silicon revenue is lumpy and hard to forecast, which introduces a new risk premium into the stock. That said, the bigger picture is unchanged: Amazon, Google, and Microsoft are all racing to build their own AI chips to avoid paying Nvidia's tax, and MRVL is the picks-and-shovels play for that. This selloff is more about expectations resetting than the thesis breaking — but it also means the "easy money" phase of this trade is over, and you now need to be selective on entries.

POLICY & POLITICAL WATCH

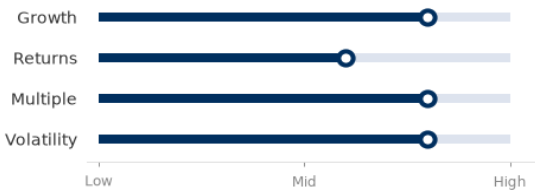
The big political tailwind here is the CHIPS Act (which handed out billions in subsidies to boost US semiconductor production) and the Trump administration's ongoing push on China export controls — both help MRVL because they make US-designed custom silicon more strategically valuable to hyperscalers who need "clean" supply chains. Watch for any updates on the proposed AI Diffusion Rule expansion (which restricts advanced chip exports) — if it tightens further, it could actually help MRVL by locking in domestic hyperscaler demand, but if there's a China trade thaw, it removes some of the scarcity premium. Also worth tracking: federal AI infrastructure spending discussions in the FY2027 budget cycle, where data-center buildout tied to government cloud contracts (AWS GovCloud, Azure Government) flows indirectly to MRVL through hyperscaler orders.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$216.62
12M Price Target	\$240.00
Upside / (Downside)	+10.8%
Market Cap	\$194.68B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,400M
FY2027E EPS	\$2.85
FY2028E EPS	\$3.80
Fwd P/E	76.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$220.00	\$195.00
6 Months	\$285.00	\$240.00	\$180.00
1 Year	\$330.00	\$260.00	\$170.00
2 Years	\$420.00	\$310.00	\$160.00
5 Years	\$600.00	\$400.00	\$180.00
10 Years	\$900.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.42%) leading today — money is rotating toward mega-cap platforms with defensible AI monetization stories. Consumer Discretionary also firm on resilient spending data.

COOLING OFF: Semiconductors broadly caught in a "show me" moment — after MRVL's guidance miss, the group is being re-underwritten on realistic (not fantasy) growth assumptions.

ROTATION WATCH: Money is moving from AI infrastructure suppliers back toward AI application/platform layers (Google, Meta, Microsoft) because investors want exposure to AI without the capex-cycle risk. That's a subtle but real headwind for names like MRVL, AVGO, and even NVDA short-term.

RELATED PLAY: If MRVL's setup gets ugly, the pair trade is long AVGO (which has more diversified custom silicon customers and better earnings visibility) or long the hyperscalers themselves (GOOGL, AMZN) — they benefit from lower chip supplier pricing power.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning the custom-silicon narrative war — investors see them as the "safer" MRVL with bigger scale and Apple/Google anchor customers locked in.
- NVDA (Nvidia): Still the AI king, and any weakness in custom-silicon competitors like MRVL actually reinforces the thesis that displacing Nvidia is harder than it looks.

MRVL CONTEXT: MRVL is now LAGGING the AI semi peer group after today, which tells us the market views them as the marginal/second-tier player in custom silicon versus AVGO. Until they prove Amazon Trainium 3 and Google Axion ramp on schedule, they'll trade at a discount to Broadcom — that gap is the opportunity if they execute, or the value trap if they don't.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$200-210 on further pullback

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Google Axion silicon socket, or hyperscaler capex cuts

Hedging: Pair with a short on a richer AI name like AVGO or buy protective puts